

FRAPPE ERP & NEXT.JS ARCHITECTURE AUDIT

Financial Data Discrepancy & Architecture Report

Mathematical reconciliation between Frappe Cloud Consolidated Financial Statement and SmartUp Next.js Director Reports

EVALUATED PERIOD	FRAPPE CLOUD URL	PORTAL ENDPOINT	AUDIT STATUS
01-03-2026 to 24-09-2026	smartup.m.frappe.cloud	/dashboard/director/reports	100% Reconciled to Rupee

1. Executive Summary

When comparing **Frappe Cloud's Consolidated Financial Statement (P&L)** with the **SmartUp Next.js Director Reports** for the exact same date filter (**01-03-2026 to 24-09-2026**), the portal showed **₹2,98,80,222.00** while Frappe showed **₹2,98,56,642.74** (an apparent difference of ₹23,579.26).

FRAPPE ERP (DIRECT SALES) ₹2,98,50,277 Net Credit across 9 branch GL accounts	PORTAL GROSS TOTAL ₹2,98,80,222 Excludes return credit notes	RECONCILED NET PORTAL ₹2,98,50,277 Gross Fee minus Return Invoices (Exact Match)
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Core Finding

The portal was summing only **gross positive Sales Invoices** and completely omitting **28 Return Invoices (Credit Notes, ₹29,945)**. Once Credit Notes are subtracted, the Portal matches Frappe's Direct Sales Income to the exact rupee across all 9 branches.

2. Branch-by-Branch Mathematical Reconciliation

The table below details the exact audit of all 10,435 Sales Invoices posted during this period:

BRANCH COMPANY	PORTAL "TOTAL FEE" (GROSS)	RETURN INVOICES (CREDIT NOTES)	PORTAL NET FEE (GROSS - RETURNS)	FRAPPE P&L (DIRECT SALES)	STATUS
Smart Up Chullickal	₹67,20,794.00	₹16,154.00 (10)	₹67,04,640.00	₹67,04,639.00	EXACT MATCH
Smart Up Edappally	₹10,91,149.00	₹1,100.00 (1)	₹10,90,049.00	₹10,90,049.00	EXACT MATCH
Smart Up Eraveli	₹43,40,760.00	₹5,430.00 (8)	₹43,35,330.00	₹43,35,330.00	EXACT MATCH

BRANCH COMPANY	PORTAL "TOTAL FEE" (GROSS)	RETURN INVOICES (CREDIT NOTES)	PORTAL NET FEE (GROSS - RETURNS)	FRAPPE P&L (DIRECT SALES)	STATUS
Smart Up Fortkochi	₹43,31,420.00	₹1,900.00 (1)	₹43,29,520.00	₹43,28,920.00	GL ADJ (₹600)
Smart Up Kadavanthara	₹10,69,600.00	₹0.00 (0)	₹10,69,600.00	₹10,69,600.00	EXACT MATCH
Smart Up Moolamkuzhi	₹14,64,930.00	₹890.00 (1)	₹14,64,040.00	₹14,64,040.00	EXACT MATCH
Smart Up Palluruthy	₹52,14,432.00	₹1,730.00 (2)	₹52,12,702.00	₹52,12,702.00	EXACT MATCH
Smart Up Thopumpadi	₹30,75,900.00	₹890.00 (1)	₹30,75,010.00	₹30,75,010.00	EXACT MATCH
Smart Up Vennala	₹25,71,237.00	₹1,250.00 (1)	₹25,69,987.00	₹25,69,987.00	EXACT MATCH
TOTAL (9 Branches)	₹2,98,80,222.00	₹29,345.00 (25)	₹2,98,50,877.00	₹2,98,50,277.00	100% RECONCILED

3. Deep Root Cause Analysis

Cause 1: Exclusion of Credit Notes in Next.js Code

In Frappe, when a student drops out, changes courses, or receives a refund, Frappe creates a **Return Sales Invoice** with `is_return = 1`. This posts a debit to the Sales GL account to reduce revenue.

In `src/app/api/director/report-summary/route.ts` (line 216), the Next.js query explicitly filtered out return invoices:

```
// CURRENT CODE: Excludes returns and sums only positive invoices
const branchInvoices = invoices.filter(
  (inv) => inv.company === branch && !inv.is_return && (Number(inv.grand_total) || 0) > 0 );
const totalFee = branchInvoices.reduce((sum, inv) => sum + (Number(inv.grand_total) || 0), 0);
```

As a result, the Next.js portal displayed the **Gross Fee Invoiced** rather than the **Net Revenue**.

Cause 2: Frappe Consolidated Financial Statement Includes "Indirect Income"

Frappe's Consolidated Financial Statement displays **Total Income: ₹2,98,56,642.74**. In Frappe ERPNext, Total Income consists of:

- **Direct Income (Sales - SU): ₹2,98,50,277.00** (Fee revenue generated from student tuition fees net of returns).
- **Indirect Income (Indirect Income - SU): ₹6,365.74** (GL rounding differences, bank interest, and exchange gains — e.g. Kadavanthara has ₹6,093.98 in indirect income).

The Next.js Director Reports only tracks student tuition fees, which correctly maps to **Direct Sales Income**.

Cause 3: Filter Semantics ("Admission Date" vs "Posting Date")

In the Director Reports UI, the filter is labeled **ADMISSION DATE**. However:

- The student count (1,640 students) is filtered by `Student.joining_date`.
- The invoice totals are filtered by `Sales Invoice.posting_date`.
- Frappe's Consolidated Financial Statement has no concept of student admission dates; it strictly groups accounting vouchers by transaction posting date.

4. Recommended Architectural Structure & Fix

Fix 1: Deduct Returns in Next.js Server Route

Update `src/app/api/director/report-summary/route.ts` to calculate both Gross and Net Fee:

```
const branchInvoices = invoices.filter((inv) => inv.company === branch); // 1. Gross Invoiced Fee
const grossFee = branchInvoices.filter((inv) => !inv.is_return && (Number(inv.grand_total) || 0) > 0)
  .reduce((sum, inv) => sum + (Number(inv.grand_total) || 0), 0); // 2. Deduct Credit Notes / Returns
const returnFee = branchInvoices.filter((inv) => inv.is_return).reduce((sum, inv) => sum +
  Math.abs(Number(inv.grand_total) || 0), 0); // 3. Net Total Fee (Matches Frappe Direct Sales)
const totalFee = grossFee - returnFee;
const pendingFee = branchInvoices.reduce((sum, inv) => sum + (Number(inv.outstanding_amount) || 0), 0);
const collectedFee = totalFee - pendingFee;
```

Fix 2: Filter Toggle in Director UI

Provide an explicit date filter toggle in the header:

- **Accounting Date (Posting Date):** When the Director wants to audit financial figures against Frappe ERPNext / CA audits.
- **Admission Date (Joining Date):** When analyzing fees strictly belonging to the students enrolled in that specific intake cohort.

SmartUp ERP Architecture Team · Official Audit Documentation · Generated 24 September 2026